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RATES SPARK

Rates Spark: Testing new highs

As oil prices push higher again, the 2Y EUR swap rate has tested levels above 3%. Implied rate volatility remains more contained as the risk of a severe re-escalation in the Middle East still seems unlikely. Meanwhile, the 10Y gilt yield has broken through the 5% mark amid increased fiscal uncertainty following Andy Burnham's appointment as prime minister



With oil above \$90/bbl, the 2Y euro swap rate is at record highs as in March

Oil still driving rates, but future outcomes have narrowed

Oil has been testing prices above \$90 per barrel again and at the same time, the 2Y euro swap rate has touched 3%, matching the record high reached in March. Rates can take this hawkish view because the growth picture continues to recover, giving the European Central Bank more room to react without worrying about negative economic consequences. Having said that, the growth outlook for the eurozone remains fragile. Forward-looking surveys such as July's ZEW will help us understand whether the recovery remains resilient given the latest re-escalation in the Middle East. Unfortunately, July's data won't incorporate the latest jump in oil yet.

Another key difference compared to March is that implied rate volatility remains much lower. While uncertainty around oil prices has risen again, the tail risk of oil moving far above \$100 has declined. Since March, Iran and the US have shown greater willingness to resolve the conflict. From the US perspective, a further surge in oil prices would likely be politically unpopular. As such, the range of possible ECB policy rate paths has narrowed alongside oil.

Gilt investors getting more nervous as fiscal language loosens

Meanwhile, 10Y gilt yields jumped above 5% on potentially more fiscal spending under new UK Prime Minister Andy Burnham than is currently priced in. Compared to peers, sterling rates remain elevated, and while that is mostly an inflation story, the political risk premium also seems to be rising. We now estimate that the risk premium for 10Y gilts is close to 20bp, which is a few basis points short of the risk premium preceding last year's Autumn Budget. In practice, that means there still is some upside, especially if Labour wants to test the flexibility of financial markets. [Here you can read](#) about the potential policies we could see from Burnham. Expect more volatility in coming days as new policy ideas are floated in the media.

Tuesday's events and market view

After [UK employment figures](#) came in broadly as expected in the morning, we have the ECB bank lending survey. While usually not a market driver, these figures are used by the ECB to assess financial conditions. Afterwards, we get July's ZEW survey outcomes for Germany and the eurozone. Consensus estimates suggest that the expectations component will keep improving for Germany. From the US, we have the weekly ADP employment figures.

The UK will auction £5bn of 3Y Gilts, while Germany will auction €6bn of a new 5Y Bobl.

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